

4. Additional remarks on Market segmentation.

How does one segment markets?

- (1) If the customer is the "enterprise" (e.g., Apple, MS, AT&T, ...), segment market by size (sales revenue, \$) of the enterprise
(see L # 6, § Page 4 of the "start-up process" handout)

Another example: Cisco (computer network giant)

segments markets into

- Enterprise ("Fortune 100" companies)
- Commercial (all the other companies)
- Internet Service Providers (AT&T, AOL,)
- Consumers

(ii) Geographic
country, state, regions

(iii) Demographic
(age, gender, income, education,)

example : Gourmet coffee drinkers / buyers
demographic :

- age : 25-64
- college educated
- professionals, or in business
- Household incomes > \$100K

(iv) Psychographic
- Lifestyle, personality

examples : magazines

(v) Behavioral
- usage, loyalty to product brands,
responsiveness to price, ...

Conclusion : Market / Customer Segmentation needs
to be aligned with the products that
are being offered

TIM 80C, Lecture # 9 (4/28/2026)

Agenda:

1. Additional remarks on Business/Competitive Strategy
2. Additional remarks on Product Strategy
3. Risk Management in a Start-up
4. Start-up Team
5. Legal Issues
6. Financial Strategy
7. HW # 2 is due today
8. HW # 3 has been posted; due Thursday, 5/7/2026
9. Midterm, in-class, on Thursday, next week, 5/7/2026

If you turn in HW # 3 before the midterm, you will receive one extra point on HW # 3.

Additional remarks on Business / Competitive strategy

There is one additional step (beyond the 3 steps in L #7,8)

Step 4 : Develop a plan to deal with the different sets of players (e.g., Buyers, Suppliers,...) in the Business Landscape.

example : If you are a "new entrant", how are you going to address "barriers to entry" such as the "brand name of existing competitors", "capital expenditures",
....

You might consider the following options:

- partnerships with existing competitors,
- find niche market segments (e.g., health-care) that are willing to buy & use your product

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Important : For a start-up, in the short-term, one & only one of the three generic strategies makes sense: FOCUS.

2. Additional remarks on Product Strategy

Stages in New Product Development

- Customer Needs : product needs to be Customer-centric

(Important statistic : 80-95 % of new products fail because they are not customer centric.)

- Conceptual Design (studied in L#3,4,5...)

- Build-and-test prototypes

- "Proof-of-concept" (α -prototype)

- β -prototype (prototype for real customers)

...

- Manufacturing/Production prototype

- Product for the target market segment.

What resources are needed for product development

- Team (skill-sets)

- do everything in-house ? Out-source ? hybrid ?

When should "things" be done $\Rightarrow$ TIMING &
A PLAN.

3. Risk Management in a Start-up.
(based on a study of numerous Silicon Valley start-ups)

Due Diligence	Probability of success
1. Having a good idea & doing some development work on this idea	1 in 100,000
2. Product, Market & Finance (related to the start-up) are well understood & "quantified."	1 in 100
3. A good business plan (based on 2.) + funding	1 in 10

Key idea : The best way to manage risk is to eliminate risk.

4. Start-up Team

Team & Leaders	Roles & Responsibilities
<u>Chief Executive Officer (CEO)</u>	• Lead (manage people) • Set vision, mission, and business goals with the executive team • Negotiating • Getting funding
Product or Technology team	
• <u>Chief Technology Officer (CTO)</u>	→ Develop & manage the implementation of the product strategy
• VP of Product Development	→ lead the development of the product concept (prototyping, ...)
• VP of Manufacturing	→ lead the manufacturing & production of the product

Team	Roles
Marketing, Business Development, & Sales Team • VP of Marketing & Sales	• Develop the competitive/business strategy • Develop the marketing strategy.
Financial team • <u>Chief Financial Officer</u> (CFO)	→ controls the company budget (cash); deals with the following: - Cash Flow Analysis - (Sales) Revenue - Costs (Spending) - Hiring costs - other Resource costs
• Other	→ <u>Legal, Human Resources</u> generally out-sourced.

5. Legal issues

There are at least 3 important legal issues

(1) leaving an employer
to start a new
company

several guidelines

1. Take nothing
(related to the
employer) when
you leave.

2. Business Plan (BP):
do not write
any part of the BP
until after you
leave.

...

(2) Protecting
the intellectual
property (IP)
of the start-up

- one important
guideline is
to keep a
notebook that
archives (with
dates) all the
key IP.

- create an
invention
disclosure
(signed, witnessed,
dated)

- create a patent

(3) becoming a
legal entity

Bottom line:

hire the best
legal company,
& lawyers that
the start-up
can afford.

6. Overview of Financial Strategy (FS)

There are 2 major parts to an FS :

1. Financial cash flow analysis of new product development in the intended start-up for a 3-5 year time horizon
Will the start-up be profitable?
What is the expected profit for the start-up based on a 3-5 year time horizon.
2. Develop a funding strategy to obtain cash (\$) to cover all possible costs (or cash out-flows): product development, marketing, ...

Separation Principle:

- We do Part 1 first (without "worrying" about Part 2).
- Then do Part 2.